

Redistributive taxation

In order to provide schools and hospitals, the government has to tax its population, but how should the burden of taxation be distributed? Economists often focus on the impact of taxation on economic efficiency: a fixed £500 tax on everyone is efficient because it doesn't influence how much people work, but such a tax might be considered unfair. Many argue that those with a greater ability to pay should contribute more.

All taxes redistribute income in some way, but redistributive taxation, as well as raising revenue also has a *goal* of making income distribution fairer. Progressive tax systems place a higher rate of tax on the rich, fulfilling the principle that those with greater ability to pay should contribute more, and also making distribution of income more equal. Under proportional systems, all taxpayers contribute the same fraction of income. Under regressive tax systems, even though the rich may pay more in absolute terms, they pay a lower fraction of their income than the poor.

United Kingdom taxpayers and revenue shares, 2009–10

Proportion of taxpayers Proportion of revenues

